



RAZOR-SHARP FOCUS

- ▶ RIL has so far raised over \$26 billion through Jio Platforms and Reliance Retail Ventures from names such as Facebook (Meta), Google, TPG, Silver Lake, KKR and Abu Dhabi Investment Authority
- ▶ Both these businesses are in a position of leadership in their sectors; in Q2FY23, they both contributed nearly half (₹16,705 crore) to RIL's Ebitda at a consolidated level
- ▶ RIL is now focusing on consumer strategy; globally this is known to give higher profitability and greater margins
- ▶ All eyes are now on how the process of unlocking value will take place in these two businesses

GRAPHICS BY **RAHUL SHARMA**

to take the 4G route when the incumbents were still on 3G. “The tipping point was when 4G took off in China. It saw the opportunity in a greenfield telecom operation and brought in a new technology (VoLTE or voice over long-term evolution), which then disrupted the market,” says a telecom industry executive. With 5G, he thinks, Reliance will play the IoT (Internet of Things) game apart from using the technology to get into areas such as edtech, medicine, agriculture, gaming, and smart grids. “It will then compete against anyone in the IT/ITeS business offering a suite of products and services.”

Deven Choksey, MD, KR Choksey Securities, picks out consumer focus as the single biggest change at RIL. “Be it building Jio or retail and now the [proposed] demerger of financial services from RIL, the consumer strategy is clear and definite,” he explains, before pointing out that renewable energy, too, will have both B2B and B2C components. Also, from a financial

standpoint, getting it right here means a huge upside for the company. “Apart from giving an uptick in revenues, consumer businesses are highly profitable and are more efficient when it comes to return on capital employed.” RIL declined to participate in this story.

Jio was launched in 2016, while the retail business went through its challenges before getting its act together. “To that extent, these are not really new businesses. For instance, Jio has a 36 per cent market share in the telecom business and continues to grow in the mid-teens,” emphasises Aliasgar Shakir, Telecom, Media and Retail Analyst (Institutional Equities), Motilal Oswal Financial Services. On retail, he says the store footprint is across categories (grocery, durables, electronics, jewellery, fashion and lifestyle, and pharma being some of them). There’s a strong presence in digital, too, through e-commerce venture JioMart and fashion and lifestyle digital brand Ajio. “It is fairly well-covered in

each of the categories. The benefit of scale works to its advantage, making it a strong player wherever it operates,” says Shakir.

Those close to the group say the disruption in retail will be significant. “It already has its own brands with a store network. Now, the focus is on the *kirana* stores where it will gain access to consumer purchase patterns,” says one person. On a total base of over 10 million such outlets in the country, Reliance has access to around 17,000 through its point-of-sale machines. As the proportion of organised retail takes off (it’s around 10 per cent today), it presents a significant market. “Reliance will now have a play in both forms of retail. With its apparel business, for instance, it is in the organised sector, and the *kirana* stores open up the unorganised segment,” points out the same person. What will differentiate the strategy for Reliance is its logistics story with warehousing facilities. “It will want to create a supply chain, which can create a serious disruption in the existing model.”

At the most recent annual general meeting, Ambani announced the launch of a fast-moving consumer goods (FMCG) business. “The objective of this business is to develop and deliver high-quality, affordable products which solve every Indian’s daily needs,” he said.

THE INEVITABLE QUESTION revolves around when the unlocking of value or, more specifically, when the listing of the telecom and retail businesses will take place. Both of them, says Choksey, have not just raised large amounts of money, but have also successfully deployed and delivered good returns. “Ultimately, they will get listed and that is necessary for scale to take place, apart from the investors needing to exit,”